

real value since World War II. The bond market was scraping bottom, having been ravaged by both the inflationary period, which stoked fears of ever-rising interest rates, and the recessions of 1980 to 1982, which kindled default worries. The next monetary event appeared to be anyone's guess. The most popular competing opinions were (1) that inflation would accelerate into hyperinflation, and (2) that deflation and economic contraction would bring about financial collapse. These opinions were so popular that they were called "The Great Debate" at financial conferences.

In contrast to the two prevailing opinions, the September 13, 1982 issue of *The Elliott Wave Theorist* offered ten points supporting the super bullish forecast for the Dow to soar 3000 points to 3885. (For details, see Appendix A of *Elliott Wave Principle*.) Two of those points pertained to the expected monetary environment:

— Fits the idea that the Kondratieff cycle plateau has just begun, [supporting] a period of economic stability and soaring stock prices. Parallel with late 1921.

— Celebrates the end of the inflationary era [and] accompanies a stable reflation.

Specifically, then, *The Elliott Wave Theorist* forecasted a mild *reflation* relative to the crunch of 1980-1982 that would occur within the longer term trend of *disinflation*. Monetary stability was the last thing on most people's forecast list. Yet, the period of stability and reflation began right then. That the Wave Principle could be applied to recognize the onset of such a period was of immense value to investors, particularly in the stock and bond markets, which began historic advances.

Four months later, in January 1983, *The Elliott Wave Theorist* added to its case as follows: "Quietly behind the scenes, despite all the return-of-inflation rhetoric, the utility stocks have scored a major breakout, providing [another] strong foundation for the 'continuing disinflation' argument." That November, EWT further bolstered the case that the slackening in the rate of inflation was not just a brief respite, but was of multi-year significance:

Two years ago, I used the percent change in the PPI to show a massive momentum divergence against new highs in the index in 1980. That lower peak in the rate of change was essentially a "sell signal" on inflation. Since then, the inflation rate has not only declined substantially, but its rate of change has fallen be-